

time, it is emotion. You never hear investors say, “Everything is going great, the market and the economy look fantastic. Liquidate all of my holdings immediately!” But that is pretty much what you would need to do to catch the market at a top. It is rarely cool, contemplative analysis about a high-probability event that no one else sees coming. Those are incredibly rare, as is having the disciplined personality to manage that process.

What tends to happen is that as markets fall, the drumbeat of bad news feeds upon itself. Eventually, that leads to panic. Too often, the exit is part of what technical-types call “capitulation.” The word means total surrender, and it usually means doing whatever it takes to make the pain stop. There are endless studies showing that strategy is never the recipe for strong portfolio returns.

The re-entry

Getting back in when everyone else wants out is even harder to do. We have evolved as social primates, and your skills in cooperation and group dynamics create a distinct survival advantage as a member of the group. Doing the exact opposite of what your peers are doing requires fighting your most basic instincts.

Buying into a panic sell-off is much easier said than done. There are a variety of indicators—technical, quantitative, sentiment, momentum, economic—but none has shown much reliability in nailing the lows.

Catching the bottom requires three things: First, you must have a subjective feel for when stocks have reached their nadir and that the selling has reached its conclusion. Second, you must have conviction in your ability to do what nearly all investors cannot. And last, you must have the discipline to act on your beliefs, following your trading plan despite the sheer mayhem that always accompanies market bottoms.

None of this is easy.

It turns out that most people are much better off merely riding it out than